

It is always essential to avoid 'A BIG LOSS' in your trading to stay in the game. Keeping a stop-loss for all your trades helps to achieve this goal.

I have seen two more mistakes traders commit related to stop-loss – 1) Keeping stop-loss in the mind (thinking big players will hunt) and 2) Stop-loss or Exit based on a closing basis.

Although, both these techniques are advisable in intraday trading, there are serious dangers too. Assume you have a stop-loss in your mind, but what will happen if you have an issue with your system, internet, or broker? The same logic goes with closing basis stop-loss as well. Both these techniques offer an open invitation to the enormous loss scenario.

A simple tip to avoid this issue is to be aware of your stop-loss levels before taking the trade. Once your trade is executed, immediately place the stop-loss order.

4 – Fear of Missing Out (FOMO)

One trading day, you are observing the charts. Your mind advises you to take a trade, but you ignore it for some reason. Your friend took the same trade and made good profits out of it. On hearing this, you get an uneasy feeling in your tummy, and these kinds of accumulated experiences result in FOMO.

You notice a similar chart setup on some other day, but in this case you are not 100% sure. However, your mind thinks about the previous experience and pushes you to take the trade. But the price goes in the opposite direction and hits your stop-loss.

Sometimes, FOMO also occurs due to the thought process of traders. Many people want to make profits on every trade and each trading day. With this kind of thinking, every small move appears like the start of a big move, and they end up taking a lot of unnecessary trades.

A simple way to avoid FOMO is by following one trading system with 100% defined 'Entry' rules. When the entry rules are completely defined,